

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR ENGROSSED
HOUSE BILL 2933

By: Tedford, Hill, and Adams of
the House

and

Reinhardt of the Senate

COMMITTEE SUBSTITUTE

An Act relating to insurance; directing that personal and commercial property insurers shall file certain report by specified date; providing manner in which report shall be filed; providing required content of report; clarifying that reports shall be treated as working papers and documents; permitting Insurance Commissioner to use reports to determine whether market conduct examination or investigation should be conducted; establishing penalty for violation; amending Section 7, Chapter 345, O.S.L. 2024 (36 O.S. Supp. 2025, Section 322), which relates to penalties enforced by the Insurance Department; modifying penalties the Insurance Commissioner may enforce; amending 36 O.S. 2021, Section 908, as amended by Section 2, Chapter 195, O.S.L. 2024 (36 O.S. Supp. 2025, Section 908), which relates to administrative penalties enforced by the Insurance Department; modifying administrative penalties the Insurance Commissioner may enforce; amending 36 O.S. 2021, Section 942, which relates to motor vehicle liability or collision policies; clarifying traffic records not to be used by insurers in modifying rates or determining refusal or renewal of a policy; amending 36 O.S. 2021, Section 943, which relates to circumstances under which insurers are prohibited from canceling, increasing rates, or refusing to issue or renew motor vehicle policies; prohibiting insurers from canceling, refusing to renew, or terminating policies or increasing policy premiums

1 based on first claim against policy; clarifying
2 circumstances under which policies may be canceled,
3 not renewed, or terminated, or premiums increased;
4 amending 36 O.S. 2021, Section 961, which relates to
5 premium discounts or rate reductions for resistance
6 to tornado or other wind events; modifying
7 circumstances under which insurance companies shall
8 provide a premium discount or rate reduction;
9 modifying citations; amending 36 O.S. 2021, Section
10 962, which relates to premium discount or rate
11 reduction for resistance to tornado or other wind
12 events for retrofit properties; modifying
13 circumstances under which insurance companies shall
14 provide a premium discount or rate reduction;
15 modifying citations; amending Section 2, Chapter 293,
16 O.S.L. 2024 (36 O.S. Supp. 2025, Section 972), which
17 relates to Strengthen Oklahoma Homes (SOH) Program;
18 removing certain continuation; amending 36 O.S. 2021,
19 Section 1204, as amended by Section 16, Chapter 360,
20 O.S.L. 2024 (36 O.S. Supp. 2025, Section 1204), which
21 relates to unfair methods of competition and unfair
22 or deceptive acts or practices; directing insurers
23 providing certain additional coverage consider all
24 building codes as being strictly enforced; amending
36 O.S. 2021, Section 1211, which relates to civil
penalties related to unfair methods of competition or
unfair and deceptive acts or practices; modifying
civil penalties; amending 36 O.S. 2021, Section 1212,
which relates to powers vested in the Insurance
Commissioner; modifying applicability of powers;
amending 36 O.S. 2021, Section 1250.4, which relates
to claim files and responses to inquiries; modifying
timeline for response to Insurance Commissioner
inquiries; establishing that the Insurance
Commissioner's dispute resolution program shall be
subject to the laws and protections of the Dispute
Resolution Act; establishing that only the
policyholder may request mediation; making mediation
voluntary except under listed circumstances; defining
term; requiring claims to be submitted and fully
processed through the Insurance Department's consumer
complaint program before qualifying for mediation;
requiring all parties to negotiate in good faith;
clarifying dispute is not required to be resolved in
mediation; providing procedure for rescinding
settlement by policyholder; providing procedure for
mediation conference; establishing when an insurer

1 will be deemed to have failed to appear; establishing
2 penalty for violation by insurer; permitting
3 Insurance Commissioner rulemaking authority; amending
4 36 O.S. 2021, Section 1250.6, which relates to
5 property and casualty insurers, receipt of claims,
6 and inquiries from the Insurance Commissioner;
7 modifying timeline for insurers to acknowledge
8 receipt of claim; requiring acknowledgment include
9 Homeowner Claims Bill of Rights; requiring insurer to
10 send detailed estimate where applicable; requiring
11 insurers issuing a personal lines residential
12 property insurance policy to include Homeowner Claims
13 Bill of Rights; providing minimum statement of
14 Homeowner Claims Bill of Rights; establishing
15 violation shall be a violation of the Unfair Claims
16 Settlement Practices Act; amending 36 O.S. 2021,
17 Section 1250.7, which relates to denial or acceptance
18 of claims by property and casualty insurer; modifying
19 timeline for acceptance or denial of claim; requiring
20 claimant be notified in writing; requiring insurer
21 provide reasonable explanation of payment less than
22 specified in insurer's detailed estimate;
23 establishing interest rate for untimely payments;
24 clarifying failure to comply does not form sole basis
for private cause of action; establishing
policyholder right to request a physical, in-person
inspection; amending 36 O.S. 2021, Section 1250.14,
which relates to violations and penalties of the
Unfair Claims Settlement Practices Act; modifying
penalties the Commissioner may enforce under the
Unfair Claims Settlement Practices Act; amending 36
O.S. 2021, Section 3639.1, which relates to personal
residential insurance; prohibiting certain
terminations; prohibiting certain actions by insurers
for claims occurring more than five (5) years before
policy effective date or renewal; directing that
insurers shall not refuse underwriting risk for
homeowner's insurance in certain cases; prohibiting
certain actions by insurers for certain claims;
providing exceptions; directing that insurers may
only consider at-fault motor vehicle claims history
in provided time frame; prohibiting insurer from
reducing coverage or refusing to issue or renew
homeowner's policy based solely on use of aerial
imaging; prohibiting insurers from reducing coverage
or refusing to issue or renew homeowner's policy
based solely on age of roof less than fifteen (15)

1 years old; requiring insurers to allow homeowners to
2 have a roof inspection; providing procedure for
3 calculating roof's age; providing for codification;
4 and providing an effective date.

5 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

6 SECTION 1. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section 311.5 of Title 36, unless there
8 is created a duplication in numbering, reads as follows:

9 A. By March 31, 2028, and on an annual basis thereafter, each
10 insurer authorized to write personal and commercial property
11 insurance in this state shall file with the Insurance Department a
12 supplemental report with information regarding personal and
13 commercial residential property insurance policies in this state.
14 The report shall be filed electronically in the manner and form
15 prescribed by the Insurance Commissioner and in accordance with any
16 instructions on the Department's website. The supplemental report
17 shall include separate information for personal lines, property
18 policies, and commercial lines property policies. The report shall,
19 at a minimum, include the following information for each ZIP code
20 broken down by month:

- 21 1. Total number of policies in force at the end of each month;
- 22 2. Total number of policies canceled;
- 23 3. Total number of policies nonrenewed;
- 24 4. Number of new policies written;

1 5. Total written premium;

2 6. Whether the insurer is actively writing policies;

3 7. Number of policies that exclude wind coverage;

4 8. Number of new claims opened during each month;

5 9. Number of claims closed during each month;

6 10. Number of claims pending at the end of each month; and

7 11. Number of claims in which either the insurer or insured
8 invoked any form of alternative dispute resolution.

9 B. Supplemental annual reports filed with the Insurance
10 Commissioner pursuant to this section shall be treated as working
11 papers and documents as set out in subsection F of Section 309.4 of
12 Title 36 of the Oklahoma Statutes.

13 C. The Insurance Commissioner may use supplemental quarterly
14 reports to assist in determining whether a market conduct
15 examination or investigation of an insurer should be conducted. For
16 purposes of completing a market conduct examination of any company
17 under Sections 309.1 through 309.7 of Title 36 of the Oklahoma
18 Statutes, the Insurance Commissioner may, in the sole discretion of
19 the Insurance Commissioner, use supplemental quarterly reports or
20 amendments or addendums to such statements to assist in determining
21 compliance with the laws of this state and rules adopted by the
22 Insurance Commissioner and to support any regulatory actions
23 initiated by the Insurance Commissioner.

1 D. For any repeated violation of this section, the Insurance
2 Commissioner may, after notice and opportunity for a hearing,
3 subject an insurer to a civil penalty of up to One Thousand Dollars
4 (\$1,000.00) for each occurrence, along with any other penalties set
5 forth in applicable law. The civil penalty may be enforced in the
6 same manner in which civil judgments may be enforced.

7 SECTION 2. AMENDATORY Section 7, Chapter 345, O.S.L.
8 2024 (36 O.S. Supp. 2025, Section 322), is amended to read as
9 follows:

10 Section 322. The Insurance Commissioner may, if the
11 Commissioner finds that any person or organization has violated the
12 provisions of any statute, rule, bulletin, or order for which the
13 Commissioner has jurisdiction, impose a penalty of not more than
14 ~~Five Thousand Dollars (\$5,000.00)~~ Ten Thousand Dollars (\$10,000.00)
15 for each such violation. In addition to or in lieu of any fine
16 amount, the Insurance Commissioner may refuse to renew, suspend, put
17 on probation, or revoke an insurer's certificate of authority,
18 licenses, or any other registration or similar approval to conduct
19 business in Oklahoma issued by the Insurance Commissioner. Such
20 penalties may be in addition to any other penalty provided by law.

21 No penalty shall be imposed except upon a written order of the
22 Commissioner or the appointed independent hearing examiner, stating
23 the findings of the Commissioner or the appointed independent
24

1 hearing examiner after notice and opportunity for a hearing in
2 accordance with Article II of the Administrative Procedures Act.

3 SECTION 3. AMENDATORY 36 O.S. 2021, Section 908, as
4 amended by Section 2, Chapter 195, O.S.L. 2024 (36 O.S. Supp. 2025,
5 Section 908), is amended to read as follows:

6 Section 908. The Insurance Commissioner may, if the
7 Commissioner finds that any person or organization has violated the
8 provisions of any statute, rule, or order for which the Commissioner
9 has jurisdiction, impose a penalty of not more than ~~Five Thousand~~
10 ~~Dollars (\$5,000.00)~~ Ten Thousand Dollars (\$10,000.00) for each such
11 violation. In addition to or in lieu of any fine amount, the
12 Insurance Commissioner may refuse to renew, suspend, put on
13 probation, or revoke an insurer's certificate of authority,
14 licenses, or any other registration or similar approval to conduct
15 business in Oklahoma issued by the Insurance Commissioner. Such
16 penalties may be in addition to any other penalty provided by law.

17 No penalty shall be imposed except upon a written order of the
18 Commissioner or the appointed independent hearing examiner, stating
19 the findings of the Commissioner or the appointed independent
20 hearing examiner after notice and opportunity for a hearing in
21 accordance with Article II of the Administrative Procedures Act.

22 SECTION 4. AMENDATORY 36 O.S. 2021, Section 942, is
23 amended to read as follows:

1 Section 942. Any insurance carrier that issues motor vehicle
2 liability or collision insurance policies in this state shall not
3 establish or apply premium rates, increase premium rates, cancel a
4 policy, or refuse to issue or renew a policy, based on any traffic
5 record maintained by the Department of Public Safety, including, but
6 not limited to, traffic complaints, traffic citations or other legal
7 forms of traffic charges, and accident reports, which covers a
8 period of time more than three (3) years prior to the date the
9 insurance carrier makes a determination to take any such action;
10 provided, however, those offenses that are provided for in
11 subsection C of Section 941 of this title and the offense of
12 reckless driving as provided for in Section 11-901 of Title 47 of
13 the Oklahoma Statutes may be considered by an insurance carrier for
14 a period of not more than five (5) years.

15 SECTION 5. AMENDATORY 36 O.S. 2021, Section 943, is
16 amended to read as follows:

17 Section 943. A. No insurance carrier who issues motor vehicle
18 policies in this state shall use traffic complaints, traffic
19 citations or other legal forms of traffic charges as a basis for
20 cancellation of a motor vehicle insurance policy, increasing premium
21 rates for a motor vehicle insurance policy or refusing to issue or
22 renew a motor vehicle insurance policy, where:

- 23 1. ~~the~~ The insured was acquitted of the charge;
- 24 2. ~~the~~ The insured was arrested and no charges were filed; or

1 3. ~~the~~ The insured was arrested and the charges were dismissed.

2 B. No insurer shall cancel or refuse to renew a motor vehicle
3 policy which has been in effect more than forty-five (45) days
4 solely because the insured filed a first claim against the policy.

5 Nothing in this subsection shall be construed to prevent the
6 cancellation, nonrenewal, or other termination, or increase in
7 premium for any of the following reasons:

8 1. Nonpayment of premium;

9 2. Discovery of fraud or material misrepresentation in the
10 procurement of the insurance or with respect to any claims submitted
11 thereunder;

12 3. Offenses provided for in subsection C of Section 941 of this
13 title;

14 4. An offense provided for in Section 11-901 of Title 47 of the
15 Oklahoma Statutes;

16 5. A determination by the Insurance Commissioner that the
17 continuation of the policy would place the insurer in violation of
18 the insurance laws of this state;

19 6. A violation of any of the terms and conditions of the
20 policy;

21 7. The named insured failed to disclose fully his or her motor
22 vehicle accident and moving traffic violations for the preceding
23 thirty-six (36) months if called for in the application;

1 8. An insured made a false or fraudulent claim or knowingly
2 aided or abetted another in the presentation of such a claim; or

3 9. The insured automobile is:

4 a. so mechanically defective that its operation might
5 endanger public safety,

6 b. used in carrying passengers for hire or compensation,
7 the use of an automobile for a car pool shall not be
8 considered use of an automobile for hire or
9 compensation,

10 c. used in the business of transportation of flammables
11 or explosives,

12 d. an authorized emergency vehicle, or

13 e. subject to an inspection law and has not been
14 inspected or, if inspected, has failed to qualify.

15 C. The Insurance Commissioner may suspend or revoke, after
16 notice and hearing, the certificate of authority to transact
17 insurance business in this state of any insurance carrier violating
18 the provisions of this section or may censure the insurer or impose
19 a fine.

20 SECTION 6. AMENDATORY 36 O.S. 2021, Section 961, is
21 amended to read as follows:

22 Section 961. A. ~~Commencing on April 1, 2018, insurance~~
23 Insurance companies shall provide a premium discount or insurance
24 rate reduction in an amount and manner as established in subsection

1 D of this section and pursuant to Section ~~3~~ 963 of this ~~act~~ title
2 only when the company determines that the premium discount or rate
3 reduction is actuarially justified and there is sufficient and
4 credible evidence of cost savings, which can be attributed to the
5 construction standards set forth in subsection B of this section. A
6 premium discount or rate reduction shall be available under the
7 terms specified in this section to any owner who builds or locates a
8 new insurable property in the State of Oklahoma to resist loss due
9 to tornado or other catastrophic windstorm events. Insurance
10 companies shall be required to offer such a premium discount or rate
11 reduction only when the insurer determines they are actuarially
12 justified and there is sufficient and credible evidence of cost
13 savings, which can be attributed to the construction standards set
14 forth in subsection B of this section. In addition, insurance
15 companies may also offer additional adjustments in deductible, other
16 risk differentials, or a combination thereof, collectively referred
17 to as other adjustments.

18 B. To obtain the premium discount, rate reduction, or other
19 adjustment provided in this section, an insurable property located
20 in this state shall be certified as constructed in accordance with
21 Appendix ~~¥~~ X of the ~~2015~~ 2018 Oklahoma Uniform Building Code, as
22 amended, including all tornado mitigation construction requirements,
23 as long as its standards are equal to or greater than the FORTIFIED
24 Home High Wind and Hail Standards as certified by the Institute for

1 Business and Home Safety (IBHS), or the FORTIFIED Home High Wind and
2 Hail Standards as may from time to time be adopted by the Institute
3 for Business and Home Safety or successor entity. An insurable
4 property shall be certified as conforming to the applicable building
5 code only after an inspection of the insurable property has been
6 satisfactorily completed by a certified or licensed building
7 inspector and certified to be conforming to the applicable building
8 code including all high wind and hail mitigation construction
9 requirements. An insurable property shall be certified as
10 conforming to the FORTIFIED Home High Wind and Hail Standards only
11 after evaluation and certification by an evaluator certified
12 pursuant to the FORTIFIED Home High Wind and Hail Standards.

13 C. An owner of insurable property claiming a premium discount,
14 rate reduction, or other adjustment pursuant to this section shall
15 maintain sufficient certification records and construction records
16 including, but not limited to, a certification of compliance with
17 the applicable building code or the FORTIFIED Home High Wind and
18 Hail Standards provided in subsection B of this section, receipts
19 from contractors, receipts for materials and records from local
20 building officials. The records shall be subject to audit by the
21 Insurance Commissioner, or his or her representatives, and copies of
22 any such records shall be presented to the insurer or potential
23 insurer of a property owner before the premium discount, rate
24

1 reduction, or other adjustment becomes effective for the insurable
2 property.

3 D. Insurers that write policies that are subject to the premium
4 discount or rate reduction in this section and that are required to
5 submit rates and rating plans to the Commissioner pursuant to
6 Section 987 of ~~Title 36 of the Oklahoma Statutes~~ this title shall
7 submit a rating plan certified by their actuary as actuarially
8 justified providing for the premium discount or rate reduction
9 described in this section. An insurer is not required to provide
10 the same amount of premium discount, rate reduction, or other
11 adjustment for a building code insurable property as the insurer
12 would to an insurable property conforming to the FORTIFIED Home High
13 Wind and Hail Standards. A premium discount, rate reduction, or
14 other adjustment shall only apply to policies that provide wind or
15 hail coverage and to that portion of the premium for wind or hail
16 coverage. A premium discount, rate reduction, or other adjustment
17 shall apply exclusively to the wind and hail premium applicable to
18 improved insurable property. If an insurer already offers ~~an~~
19 actuarially justified hail resistance discount, that hail-related
20 discount shall be deemed as having met the requirements of this act
21 as it pertains to hail-related discounts or rate reductions and no
22 additional hail-related discount or rate reduction shall be
23 required. If an insurer already offers an actuarially justified
24 discount for IBHS FORTIFIED Home standards, that discount shall be

1 deemed as having met the requirements of this act as it pertains to
2 wind-related discounts or rate reductions and no additional wind-
3 related discount or rate reduction shall be required. Insurers
4 shall apply any applicable premium discount, rate reduction, or
5 other adjustment to the wind and hail premium at the policy renewal
6 that follows the submission of the certification to the insurer. At
7 the time of a policy renewal for which a premium discount, rate
8 reduction, or other adjustment has previously been made, the insurer
9 may request documentation or recertification that the fortified
10 standards as described in subsection C of this section continue to
11 be met. In addition to the requirements of this section, an insurer
12 may voluntarily offer any other mitigation adjustment that the
13 insurer deems appropriate.

14 SECTION 7. AMENDATORY 36 O.S. 2021, Section 962, is
15 amended to read as follows:

16 Section 962. A. ~~Commencing on April 1, 2018, insurance~~
17 Insurance companies shall provide a premium discount or insurance
18 rate reduction in an amount and manner as established in subsection
19 D of this section and pursuant to Section ~~3~~ 963 of this ~~act~~ title
20 only when the company determines that the premium discount or rate
21 reduction is actuarially justified and there is sufficient and
22 credible evidence of cost savings, which can be attributed to the
23 construction standards set forth in subsection B of this section. A
24 premium discount or rate reduction shall be available under the

1 terms specified in this section to any owner who retrofits his or
2 her insurable property located in the State of Oklahoma to resist
3 loss due to tornado or other catastrophic windstorm events.
4 Insurance companies shall be required to offer a premium discount or
5 rate reduction only when the insurer has deemed the adjustments to
6 be actuarially justified and there is sufficient and credible
7 evidence of cost savings, which can be attributed to the
8 construction standards set forth in subsection B of this section.
9 In addition, insurance companies may also offer additional
10 adjustments in deductible, other risk differentials, or a
11 combination thereof, collectively referred to as other adjustments.

12 B. To obtain the premium discount, rate reduction, or other
13 adjustment provided in this section, an insurable property shall be
14 retrofitted to the FORTIFIED Home High Wind and Hail Standards, as
15 may from time to time be adopted by the Institute for Business and
16 Home Safety (IBHS). Wind-Zone-3-HUD-Code manufactured homes
17 installed on a permanent foundation and retrofitted as defined in
18 the FORTIFIED Home High Wind and Hail Standards, as may from time to
19 time be adopted by the Institute for Business and Home Safety, shall
20 be eligible for the premium discount or rate reduction provided in
21 this section. An insurable property shall be certified as
22 conforming to FORTIFIED Home High Wind and Hail Standards only after
23 evaluation and certification by an evaluator certified pursuant to
24 the FORTIFIED Home High Wind and Hail Standards.

1 C. An owner of insurable property claiming a premium discount,
2 rate reduction, or other adjustment pursuant to this section shall
3 maintain sufficient certification records and construction records
4 including, but not limited to, a certification of compliance with
5 the FORTIFIED Home High Wind and Hail Standards as provided in
6 subsection B of this section, receipts from contractors, and
7 receipts for materials. The records shall be subject to audit by
8 the Insurance Commissioner, or his or her representatives, and
9 copies of any such records shall be presented to the insurer or
10 potential insurer of a property owner before the premium discount,
11 rate reduction, or other adjustment becomes effective for the
12 insurable property.

13 D. Insurers that write policies that are subject to the premium
14 discount or rate reduction in this section and that are required to
15 submit rates and rating plans to the Commissioner pursuant to
16 Section 987 of ~~Title 36 of the Oklahoma Statutes~~ this title shall
17 submit rating plans certified by their actuary as actuarially
18 justified providing for the premium discounts or rate reductions
19 described in this section. A premium discount, rate reduction, or
20 other adjustment shall only apply to policies that provide wind or
21 hail coverage and to that portion of the premium for wind or hail
22 coverage. A premium discount, rate reduction, or other adjustment
23 shall apply exclusively to the wind and hail premium applicable to
24 improved insurable property. If an insurer already offers an

1 actuarially justified hail resistance discount, that hail-related
2 discount shall be deemed as having met the requirements of this act
3 as it pertains to hail-related discounts or rate reductions and no
4 additional hail-related discount or rate reduction shall be
5 required. If an insurer already offers an actuarially justified
6 discount for IBHS FORTIFIED Home standards, that discount shall be
7 deemed as having met the requirements of this act as it pertains to
8 wind-related discounts or rate reductions and no additional wind-
9 related discount or rate reduction shall be required. Insurers
10 shall apply the premium discount, rate reduction, or other
11 adjustment to the wind premium at the policy renewal that follows
12 the submission of the certification to the insurer. At the time of
13 a policy renewal for which a premium discount, rate reduction, or
14 other adjustment has previously been made, the insurer may request
15 documentation or recertification that the fortified standards as
16 described in subsection C of this section continue to be met. In
17 addition to the requirements of this section, an insurer may
18 voluntarily offer any other mitigation adjustment that the insurer
19 deems appropriate.

20 SECTION 8. AMENDATORY Section 2, Chapter 293, O.S.L.
21 2024 (36 O.S. Supp. 2025, Section 972), is amended to read as
22 follows:
23
24

1 Section 972. A. There is hereby established within the
2 Department of Insurance the Strengthen Oklahoma Homes (SOH) Program,
3 ~~to continue until November 1, 2027.~~

4 B. This act does not create an entitlement for property owners
5 or obligate the state in any way to fund the inspection,
6 construction, or retrofitting of residential property in this state.
7 Implementation of the SOH Program is subject to the receipt of
8 federal grants or funds or from other sources of grants or funds.
9 The Department shall use its best efforts to obtain grants or funds
10 from the federal government or other funding sources to supplement
11 the financial resources of the SOH Program that may be provided by
12 the state.

13 C. The SOH Program shall apply for financial grants to
14 construct or retrofit insurable property as defined in Section 963
15 of Title 36 of the Oklahoma Statutes to resist loss due to a tornado
16 or other catastrophic windstorm events or hail as prescribed in
17 subsection B of Section 962 of Title 36 of the Oklahoma Statutes.

18 D. The SOH Program may also make grants or funding available to
19 nonprofit entities for projects to construct or retrofit insurable
20 properties to resist loss due to tornado or other catastrophic
21 windstorm events or hail if such grants or funding to nonprofit
22 entities are allowable under grant or funding rules, requirements,
23 guidelines, or criteria. However, a nonprofit entity shall agree to
24 administer the grants or funds as the SOH Program would be required

1 to administer grants or funds, and the entity shall provide
2 documentation to the Department in a timely manner as requested by
3 the Department.

4 E. All mitigation shall be based upon the securing of all
5 required local permits and applicable inspections in keeping with
6 local building codes and the Insurance Institute for Business and
7 Home Safety (IBHS) Fortified Homes Program. Mitigation projects are
8 subject to random reinspection of all projects.

9 F. The Insurance Commissioner may promulgate rules and
10 eligibility requirements necessary for the proper administration of
11 this act and pursuant to any instructions or requirements on grants
12 or funds received by the Department for the SOH Program.

13 SECTION 9. AMENDATORY 36 O.S. 2021, Section 1204, as
14 amended by Section 16, Chapter 360, O.S.L. 2024 (36 O.S. Supp. 2025,
15 Section 1204), is amended to read as follows:

16 Section 1204. The following are hereby defined as unfair
17 methods of competition and unfair and deceptive acts or practices in
18 the business of insurance:

19 1. Misrepresentations and false advertising of policy
20 contracts. Making, issuing, circulating, or causing to be made,
21 issued or circulated, any estimate, illustration, circular or
22 statement misrepresenting the terms of any policy issued or to be
23 issued or the benefits or advantages promised thereby or the
24 dividends or share of the surplus to be received thereon, or making

1 any false or misleading statement as to the dividends or share of
2 surplus previously paid on similar policies, or making any
3 misleading representation or any misrepresentation as to the
4 financial condition of any insurer, or as to the legal reserve
5 system upon which any life insurer operates, or using any name or
6 title of any policy or class of policies misrepresenting the true
7 nature thereof, or making any misrepresentation to any policyholder
8 insured in any company for the purpose of inducing or tending to
9 induce such policyholder to lapse, forfeit, or surrender his or her
10 insurance;

11 2. False information and advertising generally. Making,
12 publishing, disseminating, circulating, or placing before the
13 public, or causing, directly or indirectly, to be made, published,
14 disseminated, circulated, or placed before the public, in a
15 newspaper, magazine, or other publication, or in the form of a
16 notice, circular, pamphlet, letter or poster, or over any radio or
17 television station, or in any other way an advertisement,
18 announcement or statement containing any assertion, representation
19 or statement with respect to the business of insurance or with
20 respect to any person in the conduct of his or her insurance
21 business which is untrue, deceptive or misleading. No insurance
22 company shall issue, or cause to be issued, any policy of insurance
23 of any type or description upon life, or property, real or personal,
24 whenever such policy of insurance is to be furnished or delivered to

1 the purchaser or bailee of any property, real or personal, as an
2 inducement to purchase or bail such property, real or personal, and
3 no other person shall advertise, offer or give free insurance,
4 insurance without cost or for less than the approved or customary
5 rate, in connection with the sale or bailment of real or personal
6 property, except as provided in Section 4101 of this title. No
7 person that is not an insurer shall assume or use any name which
8 deceptively infers or suggests that it is an insurer;

9 3. Defamation. Making, publishing, disseminating, or
10 circulating, directly or indirectly, or aiding, abetting or
11 encouraging the making, publishing, disseminating or circulating of
12 any oral or written statement or any pamphlet, circular, article or
13 literature which is false, or maliciously critical of or derogatory
14 to the financial condition of an insurer, and which is calculated to
15 injure any person engaged in the business of insurance;

16 4. Boycott, coercion and intimidation. Entering into any
17 agreement to commit, or by any concerted action committing, any act
18 of boycott, coercion or intimidation resulting in or tending to
19 result in unreasonable restraint of, or monopoly in, the business of
20 insurance;

21 5. False financial statements. Filing with any supervisory or
22 other public official, or making, publishing, disseminating,
23 circulating or delivering to any person, or placing before the
24 public or causing directly or indirectly, to be made, published,

1 disseminated, circulated, delivered to any person or placed before
2 the public, any false statement of financial condition of an insurer
3 with intent to deceive.

4 Making any false entry in any book, report or statement of any
5 insurer with intent to deceive any agent or examiner lawfully
6 appointed to examine into its condition or into any of its affairs,
7 or any public official to whom such insurer is required by law to
8 report, or who has authority by law to examine into its condition or
9 into any of its affairs, or, with like intent, willfully omitting to
10 make a true entry of any material fact pertaining to the business of
11 such insurer in any book, report or statement of such insurer;

12 6. Stock operations and advisory board contracts. Issuing or
13 delivering or permitting agents, officers, or employees to issue or
14 deliver agency company stock or other capital stock, or benefit
15 certificates or shares in any common-law corporation, or securities
16 or any special or advisory board contracts or other contracts of any
17 kind promising returns and profits as an inducement to insurance;

18 7. Unfair discrimination.

19 (a) Making or permitting any unfair discrimination between
20 individuals of the same class and equal expectation of
21 life in the rates charged for any contract of life
22 insurance or of life annuity or in the dividends or
23 other benefits payable thereon, or in any other of the
24 terms and conditions of such contract.

1 (b) Making or permitting any unfair discrimination between
2 individuals of the same class and of essentially the
3 same hazard in the amount of premium, policy fees, or
4 rates charged for any policy or contract of accident
5 or health insurance or in the benefits payable
6 thereunder, or in any of the terms or conditions of
7 such contract, or in any other manner whatever.

8 (c) As to kinds of insurance other than life and accident
9 and health, no person shall make or permit any unfair
10 discrimination in favor of particular persons, or
11 between insureds or subjects of insurance having
12 substantially like insuring, risk, and exposure
13 factors, or expense elements, in the terms or
14 conditions of any insurance contract, or in the rate
15 or amount of premium charged therefor. This paragraph
16 shall not apply as to any premium rate in effect
17 pursuant to Article 9 of the Oklahoma Insurance Code;

18 8. Rebates.

19 (a) Except as otherwise expressly provided by law,
20 knowingly permitting or offering to make or making any
21 contract of insurance or agreement as to such contract
22 other than as plainly expressed in the contract issued
23 thereon; or paying or allowing, or giving or offering
24 to pay, allow or give, directly or indirectly, as

1 inducement to any contract of insurance, any rebate of
2 premiums payable on the contract, or any special favor
3 or advantage in the dividends or other benefits
4 thereon, or any valuable consideration or inducement
5 whatever not specified in the contract; except in
6 accordance with an applicable rate filing, rating plan
7 or rating system filed with and approved by the
8 Insurance Commissioner; or giving or selling or
9 purchasing or offering to give, sell, or purchase as
10 inducement to such insurance, or in connection
11 therewith, any stocks, bonds or other securities of
12 any company, or any dividends or profits accrued
13 thereon, or anything of value whatsoever not specified
14 in the contract or receiving or accepting as
15 inducement to contracts of insurance, any rebate of
16 premium payable on the contract, or any special favor
17 or advantage in the dividends or other benefit to
18 accrue thereon, or any valuable consideration or
19 inducement not specified in the contract.

20 (b) Nothing in paragraph 7 or subparagraph (a) of this
21 paragraph shall be construed as including within the
22 definition of discrimination or rebates any of the
23 following practices:
24

- 1 (1) in the case of any contract of life insurance or
2 life annuity, paying bonuses to policyholders or
3 otherwise abating their premiums in whole or in
4 part out of surplus accumulated from
5 nonparticipating insurance, provided that any
6 such bonuses or abatement of premiums shall be
7 fair and equitable to policyholders and for the
8 best interest of the company and its
9 policyholders,
- 10 (2) in the case of life or accident and health
11 insurance policies issued on the industrial debit
12 or weekly premium plan, making allowance to
13 policyholders who have continuously for a
14 specified period made premium payments directly
15 to an office of the insurer in an amount which
16 fairly represents the saving in collection
17 expense,
- 18 (3) making a readjustment of the rate of premium for
19 a policy based on the loss or expense experience
20 thereunder, at the end of the first or any
21 subsequent policy year of insurance thereunder,
22 which may be made retroactive only for such
23 policy year,
24

1 (4) in the case of life insurance companies, allowing
2 its bona fide employees to receive a commission
3 on the premiums paid by them on policies on their
4 own lives,

5 (5) issuing life or accident and health policies on a
6 salary saving or payroll deduction plan at a
7 reduced rate commensurate with the savings made
8 by the use of such plan, and

9 (6) paying commissions or other compensation to duly
10 licensed agents or brokers, or allowing or
11 returning to participating policyholders, members
12 or subscribers, dividends, savings or unabsorbed
13 premium deposits.

14 (c) As used in this section, the word "insurance" includes
15 suretyship and the word "policy" includes bond;

16 9. Coercion prohibited. Requiring as a condition precedent to
17 the purchase of, or the lending of money upon the security of, real
18 or personal property, that any insurance covering such property, or
19 liability arising from the ownership, maintenance or use thereof, be
20 procured by or on behalf of the vendee or by the borrower in
21 connection with such purchase or loan through any particular person
22 or agent or in any particular insurer, or requiring the payment of a
23 reasonable fee as a condition precedent to the replacement of
24 insurance coverage on mortgaged property at the anniversary date of

1 the policy; provided, however, that this provision shall not prevent
2 the exercise by any such vendor or lender of the right to approve or
3 disapprove any insurer selected to underwrite the insurance, but any
4 disapproval of any insurer shall be on reasonable grounds;

5 10. Inducements. No insurer, agent, broker, solicitor, or
6 other person shall, as an inducement to insurance or in connection
7 with any insurance transaction, provide in any policy for or offer,
8 sell, buy, or offer or promise to buy, sell, give, promise, or allow
9 to the insured or prospective insured or to any other person in his
10 or her behalf in any manner whatsoever:

11 (a) any employment,

12 (b) any shares of stock or other securities issued or at
13 any time to be issued or any interest therein or
14 rights thereto,

15 (c) any advisory board contract, or any similar contract,
16 agreement or understanding, offering, providing for,
17 or promising any special profits,

18 (d) any prizes, goods, wares, merchandise, or tangible
19 property of an aggregate value in excess of One
20 Hundred Dollars (\$100.00), or

21 (e) any special favor, advantage or other benefit in the
22 payment, method of payment or credit for payment of
23 the premium through the use of credit cards, credit
24 card facilities, credit card lists, or wholesale or

1 retail credit accounts of another person. The
2 provisions of this paragraph shall not apply to
3 individual policies insuring against loss resulting
4 from bodily injury or death by accident as defined by
5 Article 44 of the Oklahoma Insurance Code;

6 11. Premature disposal of premium notes prohibited. No insurer
7 or agent thereof shall hypothecate, sell, or dispose of a promissory
8 note received in payment of any part of a premium on a policy of
9 insurance applied for prior to the delivery of the policy;

10 12. Fraudulent statement in application. Any insurance agent,
11 examining physician, or other person who knowingly or willfully
12 makes a false or fraudulent statement or representation in or
13 relative to an application for insurance, or who makes any such
14 statement to obtain a fee, commission, money, or benefit, shall be
15 guilty of a misdemeanor;

16 13. Deceptive use of financial institution's name in
17 notification or solicitation. Verbally or by any other means
18 notifying or soliciting any person in a manner that:

19 (a) mentions the name of an unrelated and unaffiliated
20 financial institution,

21 (b) mentions an insurance product or the possible lack of
22 insurance coverage,
23
24

- (c) does not mention the actual or trade name of the insurance agency or company on whose behalf the notification or solicitation is provided, and
- (d) thereby creates an impression or implication, including by omission, that the financial institution or a financial-institution-authorized entity is or may be the one making the notification or solicitation.

Nothing in this paragraph shall be interpreted to prohibit the reference to or use of the name of a financial institution made pursuant to a contractual agreement between the insurer and the financial institution; ~~and~~

14. No insurer or prepaid vision plan organization as defined in Section ~~4~~ 6972 of this ~~act~~ title which offers multiple prepaid vision plans may require as a condition of participation in any one prepaid vision plan that a vision care provider participate in any of the other prepaid vision plans offered by the insurer or prepaid vision plan organization; and

15. Insurers providing additional coverage for an additional premium as an exception to ordinance or law exclusions shall consider all building codes as being strictly enforced only to the extent compliance is required by applicable law or formally ordered by a governmental authority with jurisdiction at the time of repair or replacement.

1 SECTION 10. AMENDATORY 36 O.S. 2021, Section 1211, is
2 amended to read as follows:

3 Section 1211. Any person who violates a cease and desist order
4 of the Insurance Commissioner issued and served pursuant to the
5 provisions of Section 1207 of this title, after it has become final,
6 and while such order is in effect, shall, upon proof thereof to the
7 satisfaction of the court, forfeit and pay to the State of Oklahoma
8 a civil penalty of not ~~less than One Hundred Dollars (\$100.00), nor~~
9 more than ~~One Thousand Dollars (\$1,000.00)~~ Fifteen Thousand Dollars
10 (\$15,000.00) for each violation.

11 SECTION 11. AMENDATORY 36 O.S. 2021, Section 1212, is
12 amended to read as follows:

13 Section 1212. The powers vested in the Commissioner by this
14 article shall be additional to any other powers to enforce
15 penalties, fines or forfeitures authorized by law with respect to
16 ~~the methods, acts and practices hereby declared to be unfair or~~
17 ~~deceptive~~ violations of this title.

18 SECTION 12. AMENDATORY 36 O.S. 2021, Section 1250.4, is
19 amended to read as follows:

20 Section 1250.4. A. An insurer's claim files shall be subject
21 to examination by the Insurance Commissioner or by duly appointed
22 designees. Such files shall contain all notes and work papers
23 pertaining to a claim in such detail that pertinent events and the
24 dates of such events can be reconstructed. In addition, the

1 Insurance Commissioner, authorized employees and examiners shall
2 have access to any of an insurer's files that may relate to a
3 particular complaint under investigation or to an inquiry or
4 examination by the Insurance Department.

5 B. Any person subject to the jurisdiction of the Commissioner,
6 upon receipt of any inquiry from the Commissioner shall, within
7 ~~twenty (20)~~ fourteen (14) calendar days from the date of receipt of
8 the inquiry, furnish the Commissioner with an adequate response to
9 the inquiry. The Commissioner may, upon good cause shown and on a
10 case-by-case basis, extend the time allowed for a response for up to
11 seven (7) additional calendar days. Any inquiry or response subject
12 to this subsection shall be delivered electronically. An extension
13 of fifteen (15) days shall be granted if an inquiry is made by
14 written request.

15 C. Every insurer, upon receipt of any pertinent written
16 communication including but not limited to ~~e-mail~~ email or other
17 forms of written electronic communication, or documentation by the
18 insurer of a verbal communication from a claimant which reasonably
19 suggests that a response is expected, shall, within ~~thirty (30)~~
20 fourteen (14) calendar days after receipt thereof, furnish the
21 claimant with an adequate response to the communication.

22 D. Any violation by an insurer of this section shall subject
23 the insurer to discipline including a civil penalty of not ~~less than~~
24

1 ~~One Hundred Dollars (\$100.00) nor more than Five Thousand Dollars~~
2 ~~(\$5,000.00) Ten Thousand Dollars (\$10,000.00).~~

3 SECTION 13. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 1250.4a of Title 36, unless
5 there is created a duplication in numbering, reads as follows:

6 A. The Insurance Commissioner's dispute resolution program
7 shall help consumers and insurance companies effectively,
8 economically, fairly, and timely resolve disputes with persons or
9 entities subject to the jurisdiction of the Insurance Commissioner
10 and related to insurance or service warranty claims. The dispute
11 resolution program shall be subject to the laws and protections of
12 the Dispute Resolution Act, Sections 1801 through 1813 of Title 12
13 of the Oklahoma Statutes, and the rules promulgated thereto.

14 B. Mediation may be requested only by the policyholder, as a
15 first-party claimant, or the insurer.

16 C. Mediation is voluntary except that insurers shall
17 participate in any mediation requested by a first-party claimant
18 that meets the following criteria:

19 1. Involves an insurance claim under a personal residential
20 insurance policy or personal automobile insurance policy; and

21 2. No civil litigation has commenced relating to the claim to
22 be mediated.

1 D. For purposes of this section, the term "claim" refers to any
2 dispute between an insurer and a policyholder relating to a material
3 issue of fact other than a dispute:

4 1. With respect to which the insurer has a reasonable basis to
5 suspect fraud;

6 2. When, based on all the information presented to the
7 Insurance Commissioner as to the cause of loss, there appears to be
8 no coverage under the policy;

9 3. With respect to which the insurer has a reasonable basis to
10 believe that the policyholder has intentionally made a material
11 misrepresentation of fact that is relevant to the claim, and the
12 entire request for payment of a loss has been denied on the basis of
13 the material misrepresentation;

14 4. When, based on all of the information presented to the
15 Insurance Commissioner, the policyholder appears to have suffered no
16 actual monetary or property loss;

17 5. When a claim is outside the time frames prescribed in
18 applicable law; or

19 6. When a claim has been paid in full prior to any mediation
20 conference held pursuant to this section.

21 E. A claim shall not be eligible for mediation unless it has
22 first been submitted and fully processed through the Insurance
23 Department's consumer complaint program.
24

1 F. All parties to the mediation must negotiate in good faith to
2 resolve the dispute and must have the authority to immediately
3 settle the claim; however, there is no requirement that the dispute
4 be resolved in mediation. If a written settlement is reached and
5 the policyholder is not represented by an attorney, the policyholder
6 has three (3) business days within which the policyholder may
7 rescind the settlement unless the policyholder has cashed or
8 deposited any check, draft, or other payment made to the
9 policyholder as a result of the settlement. If a settlement
10 agreement is reached and is not rescinded, it shall be binding and
11 act as a release of all specific claims presented in the mediation
12 conference.

13 G. The mediation conference shall be held as scheduled by the
14 dispute resolution program coordinator. Upon application by any
15 party for a continuance, the program coordinator shall, for good
16 cause shown or if neither party objects, grant a continuance and
17 shall notify all parties of the date and place of the rescheduled
18 conference. Good cause also includes severe illness, injury, or
19 other emergency that could not be controlled by the party and could
20 not reasonably be remedied by the party prior to the conference by
21 providing a replacement representative or otherwise. Good cause
22 includes the necessity of obtaining additional information, securing
23 the attendance of a necessary professional, or the avoidance of
24 significant financial hardship. If the policyholder demonstrates to

1 the mediator the need for an expedited mediation conference due to
2 an undue hardship, the conference shall be conducted at the earliest
3 date convenient to all of the parties and the mediator. Undue
4 hardship will be demonstrated when holding the conference on a non-
5 expedited basis would interfere with or contradict the treatment of
6 a severe illness or injury, substantially impair a party's ability
7 to assert their position at the conference, or result in significant
8 financial hardship, or on other reasonably justified grounds.

9 H. Any violation by an insurer of this section shall subject
10 the insurer to discipline including a civil penalty not more than
11 Ten Thousand Dollars (\$10,000.00), in addition to any other
12 penalties provided for by law.

13 I. The Insurance Commissioner may adopt and promulgate rules
14 for the implementation and administration of this section,
15 including, but not limited to, the amount and who is responsible for
16 the payment of any fees in the event costs of the program are not
17 fully covered by the Administrative Office of the Courts, and the
18 expansion or restriction of eligibility criteria for claims subject
19 to mandatory and voluntary mediation under this section.

20 SECTION 14. AMENDATORY 36 O.S. 2021, Section 1250.6, is
21 amended to read as follows:

22 Section 1250.6. A. Every property and casualty insurer, within
23 ~~thirty (30)~~ twenty (20) days after receiving notification of a
24 claim, shall acknowledge the receipt of such notification unless

1 payment is made within such period of time. If an acknowledgement
2 is made by means other than writing, an appropriate notation of such
3 acknowledgement shall be made in the claim file of the property and
4 casualty insurer, and dated. Notification given to an agent of a
5 property and casualty insurer shall be notification to the insurer.
6 The acknowledgment shall include the Homeowner Claims Bill of Rights
7 set forth in Section 15 of this act.

8 B. Every property and casualty insurer, upon receiving
9 notification of a claim, promptly shall provide necessary claim
10 forms, instruction, and reasonable assistance so that ~~first-party~~
11 first-party claimants can comply with the policy conditions and the
12 reasonable requirements of the property and casualty insurer.
13 Compliance with this ~~paragraph~~ subsection within ~~thirty (30)~~ twenty
14 (20) days after notification of a claim shall constitute compliance
15 with subsection A of this section.

16 C. Every property and casualty insurer must send the
17 policyholder a copy of any detailed estimate of the amount of the
18 loss within seven (7) days after the estimate is generated by an
19 insurer's adjuster. This subsection does not require that an
20 insurer create a detailed estimate of the amount of the loss if such
21 estimate is not reasonably necessary as part of the claim
22 investigation.

SECTION 15. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 1250.6a of Title 36, unless there is created a duplication in numbering, reads as follows:

A. An insurer issuing a personal lines residential property insurance policy in this state must provide a Homeowner Claims Bill of Rights to policyholders on the insurer's company website. The purpose of the bill of rights is to summarize, in simple, nontechnical terms, existing Oklahoma law regarding the rights of a personal lines residential property insurance policyholder who files a claim of loss. The Homeowner Claims Bill of Rights is specific to the claims process and does not represent all of a policyholder's rights under Oklahoma law regarding the insurance policy. The Homeowner Claims Bill of Rights does not enlarge, modify, or contravene statutory requirements, including, but not limited to, Sections 1204, 1250.6, 1250.7, and 6202 of Title 36 of the Oklahoma Statutes and OAC 365:1-11, and does not prohibit an insurer from exercising any right to repair damaged property in compliance with the terms of an applicable policy. The Homeowner Claims Bill of Rights must, at a minimum, state:

"HOMEOWNER CLAIMS BILL OF RIGHTS

This Bill of Rights is specific to the claims process and does not represent all of your rights under Oklahoma law regarding your policy. This document does not prohibit an insurer from exercising any right to repair damaged

1 property in compliance with the terms of an applicable
2 policy.

3 YOU HAVE THE RIGHT TO:

4 1. Receive from your insurance company an acknowledgment of
5 your reported claim within fourteen (14) days after the time you
6 communicated the claim;

7 2. Receive from your insurance company, within forty-five (45)
8 days after you have submitted an executed proof of loss statement to
9 your insurance company, confirmation that your claim is accepted or
10 denied or if further investigation is necessary;

11 3. Receive from your insurance company a copy of any detailed
12 estimate of the amount of the loss within seven (7) days after the
13 estimate is generated by the insurance company's adjuster;

14 4. Receive from your insurance company within sixty (60) days
15 after you have submitted an executed proof of loss statement either:

16 a. full settlement payment for your claim or payment of
17 the undisputed portion of your claim,

18 b. denial of your claim, or

19 c. notice that the insurer needs more time to investigate
20 the claim and stating the reasons why;

21 5. If the insurer provides notice that it needs more time to
22 investigate the claim, receive from your insurance company within
23 ninety (90) days after you have submitted an executed proof of loss
24 statement either:

- 1 a. full settlement payment for your claim or payment of
2 the undisputed portion of your claim, or
3 b. denial of your claim.

4 In the event of a weather-related catastrophe or a major
5 natural disaster, as declared by the Governor, the
6 Insurance Commissioner may approve a request to extend
7 this deadline an additional twenty (20) days; and

8 6. Contact the Insurance Department via telephone or website
9 for assistance with any insurance claim or questions pertaining to
10 the handling of your claim.

11 YOU ARE ADVISED TO:

- 12 1. File all claims directly with your insurance company;
13 2. Contact your insurance company before entering into any
14 contract for repairs to confirm any managed repair policy provisions
15 or optional preferred vendors;
16 3. Make and document emergency repairs that are necessary to
17 prevent further damage. Keep the damaged property, if feasible,
18 keep all receipts, and take photographs or video of damage before
19 and after any repairs to provide to your insurer;
20 4. Carefully read any contract that requires you to pay out-of-
21 pocket expenses or a fee that is based on a percentage of the
22 insurance proceeds that you will receive for repairing or replacing
23 your property;

1 5. Confirm that the contractor you choose is licensed to do
2 business in Oklahoma. You can verify a contractor's license and
3 check to see if there are any complaints against him or her by using
4 the Construction Industries Board's website. You should also ask
5 the contractor for references from previous work;

6 6. Require all contractors to provide proof of insurance before
7 beginning repairs; and

8 7. Take precautions if the damage requires you to leave your
9 home, including securing your property and turning off your gas,
10 water, and electricity, contacting your insurance company, and
11 providing a phone number to your insurance company where you can be
12 reached."

13 B. Any violation of this section shall be a violation of the
14 Unfair Claims Settlement Practices Act, and the Insurance
15 Commissioner may, after notice and opportunity for a hearing,
16 subject an insurer to the civil penalties set forth in Sections
17 1250.13 and 1250.14 of Title 36 of the Oklahoma Statutes, along with
18 any other penalties set forth in applicable law.

19 SECTION 16. AMENDATORY 36 O.S. 2021, Section 1250.7, is
20 amended to read as follows:

21 Section 1250.7. A. Within ~~sixty (60)~~ thirty (30) days after
22 receipt by a property and casualty insurer of properly executed
23 proofs of loss, the ~~first-party~~ first-party claimant shall be
24 advised of the acceptance or denial of the claim by the insurer, or

1 if further investigation is necessary. No property and casualty
2 insurer shall deny a claim because of a specific policy provision,
3 condition, or exclusion unless reference to such provision,
4 condition, or exclusion is included in the denial. A denial shall
5 be given to any claimant in writing, and the claim file of the
6 property and casualty insurer shall contain a copy of the denial.
7 If there is a reasonable basis supported by specific information
8 available for review by the Commissioner that the ~~first party~~ first-
9 party claimant has fraudulently caused or contributed to the loss, a
10 property and casualty insurer shall be relieved from the
11 requirements of this subsection. In the event of a weather-related
12 catastrophe or a major natural disaster, as declared by the
13 Governor, the Insurance Commissioner may extend the deadline imposed
14 under this subsection an additional twenty (20) days.

15 B. If a claim is denied for reasons other than those described
16 in subsection A of this section, and is made by any other means than
17 writing, an appropriate notation shall be made in the claim file of
18 the property and casualty insurer until such time as a written
19 confirmation can be made.

20 C. Every property and casualty insurer shall complete
21 investigation of a claim within sixty (60) days after notification
22 of proof of loss unless such investigation cannot reasonably be
23 completed within such time. If such investigation cannot be
24 completed, or if a property and casualty insurer needs more time to

1 determine whether a claim should be accepted or denied, it shall ~~so~~
2 notify the claimant in writing within sixty (60) days after receipt
3 of the proofs of loss, giving reasons why more time is needed. ~~If~~
4 ~~the investigation remains incomplete, a property and casualty~~
5 ~~insurer shall, within sixty (60) days from the date of the initial~~
6 ~~notification, send to such claimant a letter setting forth the~~
7 ~~reasons additional time is needed for investigation.~~ Except for an
8 investigation of possible fraud or arson which is supported by
9 specific information giving a reasonable basis for the
10 investigation, the time for investigation shall not exceed ~~one~~
11 ~~hundred twenty (120)~~ ninety (90) days after receipt of proof of
12 loss. Provided, in the event of a weather-related catastrophe or a
13 major natural disaster, as declared by the Governor, the Insurance
14 Commissioner may extend this deadline for investigation an
15 additional twenty (20) days.

16 D. Within the applicable timelines set forth in subsection C of
17 this section, the insurer shall pay or deny such claim. If the
18 insurer's claim payment is less than specified in any insurer's
19 detailed estimate pursuant to subsection C of Section 1250.6 of this
20 title of the amount of the loss, the insurer must provide a
21 reasonable explanation in writing of the difference to the
22 policyholder. Any untimely payment of an initial or supplemental
23 claim or portion of such claim shall bear simple interest at the
24 rate of five percent (5%) per year. Interest begins to accrue from

1 the date the insurer receives notice of the claim. The provisions
2 of this subsection may not be waived, voided, or nullified by the
3 terms of the insurance policy. If there is a right to prejudgment
4 interest, the insured must select whether to receive prejudgment
5 interest or interest under this subsection. Interest is payable
6 when the claim or portion of the claim is paid. Failure to comply
7 with this subsection constitutes a violation of this act. However,
8 failure to comply with this subsection does not form the sole basis
9 for a private cause of action.

10 E. Insurers shall not fail to settle ~~first-party~~ first-party
11 claims on the basis that responsibility for payment should be
12 assumed by others except as may otherwise be provided by policy
13 provisions.

14 ~~E.~~ F. Insurers shall not continue or delay negotiations for
15 settlement of a claim directly with a claimant who is neither an
16 attorney nor represented by an attorney, for a length of time which
17 causes the claimant's rights to be affected by a statute of
18 limitations, or a policy or contract time limit, without giving the
19 claimant written notice that the time limit is expiring and may
20 affect the claimant's rights. Such notice shall be given to ~~first~~
21 ~~party~~ first-party claimants and ~~third-party~~ third-party claimants
22 one (1) year after the date of the loss.

23 ~~F.~~ G. No insurer shall make statements which indicate that the
24 rights of a ~~third-party~~ third-party claimant may be impaired if a

1 form or release is not completed within a given period of time
2 unless the statement is given for the purpose of notifying a ~~third~~
3 ~~party~~ third-party claimant of the provision of a statute of
4 limitations.

5 ~~G. H.~~ If a lawsuit on the claim is initiated, the time limits
6 provided for in this section shall not apply.

7 I. If an insurer denies a homeowner's claim, in whole or in
8 part, based solely on the use of video recordings or photographs of
9 the loss using aerial imaging, including drones, driverless
10 vehicles, or other machines that can move independently or through
11 remote control, the insurer shall establish, if not already
12 existing, a process allowing the insured to appeal such denial
13 within at least thirty (30) days of the insured's receipt of the
14 insurer's full and final determination on the claim. A
15 determination on the appeal shall be completed, and the insured
16 notified, within thirty (30) days of the request of the appeal.

17 SECTION 17. AMENDATORY 36 O.S. 2021, Section 1250.14, is
18 amended to read as follows:

19 Section 1250.14. For any violation of the Unfair Claims
20 Settlement Practices Act, the Insurance Commissioner may, after
21 notice and hearing, subject an insurer to a civil penalty of not
22 ~~less than One Hundred Dollars (\$100.00) nor more than Five Thousand~~
23 ~~Dollars (\$5,000.00)~~ Ten Thousand Dollars (\$10,000.00) for each
24 occurrence. In addition to or in lieu of any fine amount, the

1 Insurance Commissioner may refuse to renew, suspend, put on
2 probation, or revoke an insurer's certificate of authority, license,
3 or any other registration or similar approval to conduct business in
4 Oklahoma issued by the Insurance Commissioner. Such civil penalty
5 may be enforced in the same manner in which civil judgments may be
6 enforced.

7 SECTION 18. AMENDATORY 36 O.S. 2021, Section 3639.1, is
8 amended to read as follows:

9 Section 3639.1. A. No insurer shall cancel, refuse to renew or
10 increase the premium of a homeowner's insurance policy or any other
11 personal residential insurance coverage, which has been in effect
12 more than forty-five (45) days, solely because the insured filed a
13 first claim against the policy or submitted any number of inquiries
14 on the policy.

15 B. No insurer shall cancel, refuse to renew, or otherwise
16 terminate, or increase the premium of a homeowner's insurance policy
17 or any other personal residential insurance coverage, including, but
18 not solely limited to, flood insurance, because of a claim that
19 occurred more than five (5) years before the effective date of the
20 policy or renewal for the same property regardless of prior
21 ownership. No insurer shall refuse to underwrite risk for a
22 homeowner's insurance policy or any other personal residential
23 insurance coverage, including, but not solely limited to, flood
24 insurance, because of a claim that occurred more than five (5) years

1 before the date of application for the same property regardless of
2 prior ownership.

3 C. The provisions of this section shall not be construed to
4 prevent the cancellation, nonrenewal or increase in premium of a
5 homeowner's insurance policy for the following reasons:

6 1. Nonpayment of premium;

7 2. Discovery of fraud or material misrepresentation in the
8 procurement of the insurance or with respect to any claims submitted
9 thereunder;

10 3. Discovery of willful or reckless acts or omissions on the
11 part of the named insured which increase any hazard insured against;

12 4. A change in the risk which substantially increases any
13 hazard insured against after insurance coverage has been issued or
14 renewed;

15 5. Violation of any local fire, health, safety, building, or
16 construction regulation or ordinance with respect to any insured
17 property or the occupancy thereof which substantially increases any
18 hazard insured against;

19 6. A determination by the Insurance Commissioner that the
20 continuation of the policy would place the insurer in violation of
21 the insurance laws of this state; or

22 7. Conviction of the named insured of a crime having as one of
23 its necessary elements an act increasing any hazard insured against.
24

1 ~~B.~~ D. An insurer shall give to the named insured at the mailing
2 address shown on a homeowner's policy, a written renewal notice that
3 shall include new premium, new deductible, new limits or coverage at
4 least thirty (30) days prior to the expiration date of the policy.
5 If the insurer fails to provide such notice, the premium,
6 deductible, limits and coverage provided to the named insurer prior
7 to the change shall remain in effect until notice is given or until
8 the effective date of replacement coverage obtained by the named
9 insured, whichever occurs first. If notice is given by mail, the
10 notice shall be deemed to have been given on the day the notice is
11 mailed. If the insured elects not to renew, any earned premium for
12 the period of extension of the terminated policy shall be calculated
13 pro rata at the lower of the current or previous year's rate. If
14 the insured accepts the renewal, the premium increase, if any, and
15 other changes shall be effective the day following the prior
16 policy's expiration or anniversary date.

17 ~~C.~~ E. In the event an insured cancels a homeowner's insurance
18 policy or any other personal residential insurance coverage, written
19 notice shall be provided by the insured to the insurer that provided
20 the coverage being canceled. The notice of cancellation shall
21 provide the date of the cancellation of the policy and the insurer
22 shall reimburse the insured for any premiums paid for coverage
23 beyond the date of cancellation of the policy.
24

1 ~~D.~~ F. An insurer canceling a policy under subsection ~~C~~ E of
2 this section shall not be liable for claims arising after the date
3 of cancellation.

4 G. If an insurer denies a homeowner's claim, in whole or in
5 part, reduces coverage, refuses to issue, or refuses to renew a
6 homeowner's policy based solely on the use of video recordings or
7 photographs of the loss using aerial imaging, including drones,
8 driverless vehicles, or other machines that can move independently
9 or through remote control, the insurer shall establish, if not
10 already existing, a process allowing the homeowner to appeal such
11 denial within at least thirty (30) days of the homeowner's receipt
12 of the insurer's full and final determination on the claim or
13 decision to reduce coverage, refuse to issue, or refuse to renew the
14 homeowner's policy. The insurer's evaluation of an appeal pursuant
15 to this subsection shall include an in-person inspection of the
16 loss. A determination on the appeal shall be completed, and the
17 homeowner notified, within thirty (30) days of the request of the
18 appeal.

19 H. An insurer shall not refuse to issue or refuse to renew a
20 homeowner's policy insuring a residential structure with a roof that
21 is less than fifteen (15) years old solely because of the age of the
22 roof.

23 I. 1. For a roof that is at least fifteen (15) years old, an
24 insurer must allow a homeowner to have a roof inspection performed

1 by an authorized inspector at the homeowner's expense before
2 requiring the replacement of the roof of a residential structure as
3 a condition of issuing or renewing a homeowner's insurance policy.
4 The insurer may not refuse to issue or refuse to renew a homeowner's
5 insurance policy solely because of roof age if an inspection of the
6 roof of the residential structure performed by an authorized
7 inspector indicates that the roof has five (5) years or more of
8 useful life remaining.

9 2. As used in this section, the term "authorized inspector"
10 means an inspector who is approved by the insurer and who is:

- 11 a. an insurance adjuster as defined in Section 6202 of
12 this title,
- 13 b. a home inspector as defined in Section 858-622 of
14 Title 59 of the Oklahoma Statutes,
- 15 c. a building code inspector certified under Section
16 1000.23 of Title 59 of the Oklahoma Statutes,
- 17 d. a registered roofing contractor pursuant to Section
18 1151.3 of Title 59 of the Oklahoma Statutes,
- 19 e. a professional engineer licensed under Section 475.12a
20 of Title 59 of the Oklahoma Statutes, or
- 21 f. a professional architect licensed under Section 46.8a
22 of Title 59 of the Oklahoma Statutes.

23 3. For purposes of this section, a roof's age shall be
24 calculated using the last date on which one hundred percent (100%)

1 of the roof's surface area was built or replaced in accordance with
2 the building code in effect at that time or the initial date of a
3 partial roof replacement with subsequent partial roof builds or
4 replacements that result in one hundred percent (100%) of the roof's
5 surface area being built or replaced.

6 J. For purposes of subsection A of this section, the following
7 definitions shall apply:

8 1. "Claim" means a contact with an insurer by an insured or
9 third party, as an assignee of the policy benefits, for the purpose
10 of seeking payment. A claim shall not include a report of loss by
11 the insured or any subsequent inquiries or inspection of loss if:

12 a. no payment if made,

13 b. the report of loss is withdrawn by the insured, or

14 c. coverage is denied by the insurer; and

15 2. "Inquiry" means a request for information regarding the
16 terms, conditions, or coverages offered under a property and
17 casualty insurance policy that does not result in a claim.

18 SECTION 19. This act shall become effective November 1, 2026.

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